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LUSHIKISHINI CATTLE FEEDLOT PROJECT

Business Plan for Regional Development Fund Grant Application

EXECUTIVE SUMMARY

Project Name: Lushikishini Community Cattle Feedlot Project

Location: Lushikishini, kaMavuso, Phondo Inkhundla, under Chief Somtsewu, Eswatini

Legal Structure: Community Cooperative (10 Members)

Grant Requested: E500,000 (Eswatini Lilangeni / R500,000)

Own Contribution (10%): E50,000 (4 cattle valued at E40,000 + existing kraal valued at E10,000)

Project Summary:

The Lushikishini Cattle Feedlot Project is a community-driven agricultural initiative aimed at establishing a sustainable beef cattle finishing operation. The project will construct and operate 4 feedlots, each with a capacity of 10 cattle (40 cattle total), using a rotational sales model to generate consistent monthly income for 10 community members.

Key Highlights: - □ 10 committed community members from Lushikishini - □ 1 feedlot already constructed (10x12m kraal) - □ 4 cattle already owned (10% contribution met) - □ Access to water and grazing land - □ Established abattoir relationships (buyers collect cattle) - □ Strong team with agricultural, environmental, and financial expertise

1. PROJECT BACKGROUND & JUSTIFICATION

1.1 The Opportunity

Eswatini's beef market presents significant opportunities for small-scale producers. The country imports substantial quantities of beef to meet domestic demand, creating a gap that local producers can fill. Cattle feedlot operations offer:

- **Higher profit margins** compared to traditional extensive cattle farming
- **Faster turnover** (90-120 day cycles vs. 2-3 years for traditional methods)
- **Predictable income** through planned sales cycles
- **Value addition** by finishing cattle to market-ready weights

1.2 Community Need

The Lushikishini community, like many rural areas in Eswatini, faces: - Limited formal employment opportunities - Underutilization of available agricultural resources - Youth unemployment and migration to urban areas - Need for sustainable income-generating activities

1.3 Why Feedlot Farming?

Traditional Cattle Farming	Feedlot Finishing
2-3 years to market weight	90-120 days to market weight
Unpredictable income	Monthly sales cycle
Weather-dependent	Controlled feeding environment
Lower weight gains (0.3-0.5 kg/day)	Higher weight gains (0.8-1.2 kg/day)
Variable meat quality	Consistent quality for premium prices

2. PROJECT DESCRIPTION

2.1 Business Model

The project operates on a **batch feeding and rotational sales model**:

1. **Purchase** weaner calves (180-220 kg) at market prices
2. **Feed** intensively for 90-120 days using crop residues and supplementary feed
3. **Sell** finished cattle (380-450 kg) to abattoirs
4. **Repeat** cycle with new batch

2.2 Infrastructure Plan

Feedlot	Status	Capacity	Construction Cost
Feedlot 1	□ Built	10 cattle	E10,000 (own contribution)
Feedlot 2	To be built	10 cattle	E35,000
Feedlot 3	To be built	10 cattle	E35,000
Feedlot 4	To be built	10 cattle	E35,000
Total		40 cattle	E115,000

2.3 Feedlot Specifications

Each feedlot (kraal) will be: - **Size:** 10m x 12m (120 m²) = 12 m² per animal (industry standard: 10-15 m²) - **Materials:** Treated gum poles, wire mesh, concrete water troughs - **Features:** - Feeding troughs (concrete or steel) - Water supply connection - Drainage system - Handling crush for veterinary care

3. MARKET ANALYSIS

3.1 Beef Market in Southern Africa (2025/2026)

Current Market Prices (estimates based on regional data):

Category	Weight Range	Price per kg (live)	Price per head
Weaner calves (purchase)	180-220 kg	E28-35/kg	E5,000-7,700
Finished cattle (sale)	380-450 kg	E32-40/kg	E12,160-18,000

Note: Prices fluctuate based on season, quality, and market conditions

3.2 Target Market

Primary Buyers: Abattoirs (buyers fetch cattle from the farm)

Advantages: - No transport costs for the project - Established relationships with buyers - Cash payment on collection - Consistent demand for quality cattle

3.3 Competitive Advantage

1. **Location:** Communal land with no lease costs
2. **Feed costs:** Access to crop residues reduces feed expenses
3. **Labor:** Community members provide dedicated labor
4. **Expertise:** Team includes qualified agronomist and experienced handlers

4. OPERATIONS PLAN

4.1 Production Cycle (Per Feedlot of 10 Cattle)

Week	Activity
Week 1	Purchase 10 weaner calves (avg 200 kg)
Week 1-2	Adaptation period (gradual feed transition)
Week 2-12	Intensive feeding phase
Week 12-14	Finishing phase (increase energy in diet)
Week 14-16	Marketing and sale to abattoir
Week 17	Rest period, kraal cleaning, new batch purchase

4.2 Feeding Program

Feed Sources: 1. **Crop residues** (primary) - maize stover, grass hay, legume residues 2. **Supplementary feed** - commercial cattle concentrate or homemade mix 3. **Mineral licks** - for balanced nutrition

Daily Feed Requirements (per animal): | Feed Type | Amount | Cost/day | Monthly Cost (10 cattle) | |----|----|----|----| | Roughage (crop residues) | 8-10 kg | E5 | E1,500 | | Concentrate | 3-4 kg | E15 | E4,500 | | Minerals | 50g | E1 | E300 | | **Total** | | **E21/day** | **E6,300/month** |

4.3 Animal Health Management

- **Vaccinations:** Lumpy skin disease, Blackleg, Anthrax (as required)
- **Deworming:** Entry and mid-cycle
- **Dipping:** Regular tick control
- **Daily observation:** Early disease detection
- **Veterinary support:** Access to government veterinary services

4.4 Stocking Schedule (Full Operation)

Month	Feedlot 1	Feedlot 2	Feedlot 3	Feedlot 4
Month 1	Buy 10	-	-	-
Month 2	Feeding	Buy 10	-	-
Month 3	Feeding	Feeding	Buy 10	-
Month 4	Sell 10	Feeding	Feeding	Buy 10
Month 5	Buy 10	Sell 10	Feeding	Feeding
Month 6	Feeding	Buy 10	Sell 10	Feeding
Month 7+	Continuous rotation - selling 10 cattle per month			

5. MANAGEMENT & ORGANIZATION

5.1 Project Team (10 Members)

Name	Role	Qualification/Experience
Sibusiso Mavuso	Project Leader / Financial Manager	Accountant by training
Sanele Dlamini	Technical Advisor (Agronomy)	BSc Agriculture (UNESWA)
Zakhele Dlamini	Environmental Compliance	Environmental Environmentalist
Seluleko Ndwandwe	Operations Manager (Daily)	Hands-on cattle experience
Sibusiso Dlamini	Cattle Handler	Hands-on cattle experience
Temancele Mavuso	Member / Worker	Community member
Gugu Vilakati	Member / Worker	Community member
Vuyo Motsa	Member / Worker	Community member
Neliso Mavuso	Member / Worker	Community member
Sphumelele Shabangu	Member / Worker	Community member

5.2 Organizational Structure

PROJECT LEADER
Sibusiso Mavuso
(Finance & Strategy)

TECHNICAL ADVISOR Sanele Dlamini (Feed & Health)	OPERATIONS MGR Seluleko Ndwandwe (Daily Ops)	ENVIRONMENTAL Zakhele Dlamini (Compliance)
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CATTLE TEAM	CATTLE TEAM	CATTLE TEAM
Sibusiso D.	Temancele M.	Gugu, Vuyo,
	Neliso M.	Sphumelele

5.3 Profit Sharing

- All profits shared **equally** among 10 members (10% each)
- Monthly financial reports prepared by Sibusiso Mavuso
- Quarterly review meetings to assess performance
- Emergency fund: 10% of profits retained for unexpected costs

6. FINANCIAL PROJECTIONS

6.1 Capital Requirements (Grant Application)

Item	Quantity	Unit Cost	Total Cost
A. Infrastructure			
Feedlot construction (3 new kraals)	3	E35,000	E105,000
Feeding troughs	12	E2,000	E24,000
Water system (pipes, tanks, troughs)	1 set	E25,000	E25,000
Handling crush	1	E15,000	E15,000
Storage shed (feed)	1	E20,000	E20,000
Subtotal Infrastructure			E189,000
B. Livestock			
Weaner cattle (first batch)	36	E6,500	E234,000
<i>(4 cattle already owned = E40,000)</i>			
Subtotal Livestock			E234,000
C. Operating Capital			
Feed (3 months initial supply)	-	-	E57,000
Veterinary supplies	-	-	E10,000
Transport (initial purchases)	-	-	E5,000
Miscellaneous	-	-	E5,000
Subtotal Operating			E77,000
TOTAL CAPITAL REQUIRED			E500,000

6.2 Own Contribution (10% = E50,000)

Item	Value
4 cattle already owned	E40,000
Existing feedlot (10x12m kraal)	E10,000
Total Own Contribution	E50,000

6.3 Monthly Revenue Projections (At Full Operation)

Selling 10 cattle per month:

Item	Calculation	Amount
Revenue		
Sale of 10 finished cattle	10 × E14,000 avg	E140,000
Costs		
Purchase replacement weaners	10 × E6,500	E65,000
Feed costs (monthly)	10 cattle × 30 days × E21	E6,300
Veterinary & medicines		E2,000
Utilities & miscellaneous		E1,500
Total Monthly Costs		E74,800
Gross Profit per Month		E65,200
Emergency fund (10%)		E6,520
Net Profit per Month		E58,680
Profit per Member	E58,680 ÷ 10	E5,868

6.4 Annual Financial Summary

Year	Revenue	Costs	Gross Profit	Per Member (Annual)
Year 1 (ramp-up)	E980,000	E523,600	E456,400	E45,640
Year 2	E1,680,000	E897,600	E782,400	E78,240
Year 3	E1,680,000	E897,600	E782,400	E78,240

Year 1 assumes 7 months of full operation after 5-month setup/ramp-up period

6.5 Break-Even Analysis

Metric	Value
Fixed costs per month	E3,500
Variable cost per animal sold	E7,130
Average selling price	E14,000
Break-even animals per month	6 cattle
Safety margin	4 cattle (40% above break-even)

6.6 Return on Investment

Metric	Calculation	Result
Total Investment	E550,000 (grant + own)	
Annual Net Profit (Year 2+)	E782,400	
ROI	E782,400 ÷ E550,000	142%

Metric	Calculation	Result
Payback Period	E550,000 ÷ E65,200/month	8.4 months

7. RISK ANALYSIS & MITIGATION

Risk	Likelihood	Impact	Mitigation Strategy
Cattle disease outbreak	Medium	High	Vaccination program, quarantine protocols, veterinary relationship
Feed price increases	Medium	Medium	Bulk purchasing, grow own fodder, diversify feed sources
Cattle theft	Low	High	Security fencing, night watch rotation, community awareness
Market price drop	Medium	Medium	Maintain quality for premium prices, build buyer relationships
Drought affecting feed	Medium	Medium	Feed storage, crop residue agreements with farmers
Member conflict	Low	Medium	Clear constitution, regular meetings, transparent finances

8. SOCIAL & ECONOMIC IMPACT

8.1 Direct Benefits

Beneficiary	Impact
10 Members	Sustainable monthly income (E5,000-8,000/month)
10 Households	Improved livelihoods for ~50+ dependents
Community	Local employment, skills transfer

8.2 Indirect Benefits

- **Skills development:** Training in feedlot management, financial literacy
- **Knowledge transfer:** Demonstration effect for other community members
- **Youth employment:** Alternative to urban migration
- **Food security:** Access to quality protein
- **Economic multiplier:** Spending in local economy

8.3 Environmental Considerations

- **Manure management:** Composting for use as organic fertilizer
 - **Water conservation:** Efficient watering systems
 - **Land use:** Optimal use of communal grazing land
 - **Compliance:** Environmental oversight by Zakhele Dlamini (Environmentalist)
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9. SUSTAINABILITY PLAN

9.1 Financial Sustainability

1. **Reinvestment:** 20% of profits reinvested in infrastructure improvements
2. **Emergency fund:** 10% reserve for unexpected costs
3. **Diversification:** Future expansion into breeding stock sales

9.2 Operational Sustainability

1. **Training:** Ongoing skills development for all members
2. **Record keeping:** Detailed records for continuous improvement
3. **Quality focus:** Maintain high standards for premium prices

9.3 Growth Plan

Phase	Timeline	Milestone
Phase 1	Months 1-6	Establish 4 feedlots, begin operations
Phase 2	Year 2	Optimize operations, maximize efficiency
Phase 3	Year 3+	Consider expansion or diversification

10. IMPLEMENTATION TIMELINE

Month	Activity	Responsible
Month 1	Grant approval and disbursement Procurement planning Site preparation	Project Leader All members Operations team
Month 2	Construct Feedlot 2 Install water systems Purchase first batch of weaners (10)	Construction team Operations team Project Leader
Month 3	Construct Feedlot 3 Begin feeding Batch 1 Purchase Batch 2 (10 weaners)	Construction team Operations Manager Project Leader

Month	Activity	Responsible
Month 4	Construct Feedlot 4 Continue feeding Purchase Batch 3	Construction team Operations Manager Project Leader
Month 5	Complete all construction Purchase Batch 4 First cattle ready for sale	Construction team Project Leader Operations Manager
Month 6+	Full operation: Buy 10, Sell 10 monthly Monthly financial reporting Quarterly review meetings	All members Project Leader All members

11. MONITORING & EVALUATION

11.1 Key Performance Indicators (KPIs)

KPI	Target	Measurement Frequency
Average Daily Weight Gain	1.0 kg/day	Weekly weigh-ins
Feed Conversion Ratio	7:1 (kg feed/kg gain)	Monthly calculation
Mortality Rate	<2%	Monthly
Sales Price Achieved	E14,000+/head	Per sale
Monthly Profit	E50,000+	Monthly
Member Income	E5,000+/month	Monthly

11.2 Reporting Structure

- **Weekly:** Feeding records, animal health checks
- **Monthly:** Financial statements, sales reports
- **Quarterly:** Full review meeting with all members
- **Annually:** Annual report to RDF (if required)

12. CONCLUSION

The Lushikishini Community Cattle Feedlot Project represents a viable, sustainable, and impactful investment in rural economic development. With:

- ☐ **Strong team** - 10 committed members with relevant expertise
- ☐ **Proven concept** - Feedlot farming is established and profitable
- ☐ **Demonstrated commitment** - E50,000 own contribution already in place
- ☐ **Market access** - Established buyer relationships

- ☐ **Community support** - Operating on communal land under Chief Somtsewu
- ☐ **Clear financials** - 142% ROI, 8-month payback

We respectfully request the Regional Development Fund to approve our grant application of **E500,000** to bring this project to fruition and transform the livelihoods of 10 families in the Lushikishini community.

APPENDICES

Appendix A: Team Member Details

(To be completed with ID copies, addresses, and signatures)

Appendix B: Land Authorization

(Letter from Chief Somtsewu confirming land allocation)

Appendix C: Quotations

(Construction materials, cattle suppliers, feed suppliers)

Appendix D: Photos

(Existing kraal, project site, team members)

Appendix E: Constitution

(Community cooperative constitution and by-laws)

CONTACT INFORMATION

Project Leader: Sibusiso Mavuso

Location: Lushikishini, kaMavuso, Phondo Inkhundla

Chief: Somtsewu

Contact: [Add phone number]

Email: [Add email if available]

This business plan was prepared in January 2026 for submission to the Regional Development Fund, Kingdom of Eswatini.